

Unit - III

Business Small Enterprises

⇒ It is also known as small scale Enterprises/
MSMEs.

⇒ ~~It is~~ A small enterprise is a business that operates with small investments, limited resources & small workforce.

Classification of Small Enterprises:

- In India, Small Enterprises are classified under MSME (Micro, small, medium Enterprises). based on Investment & turnover.

(i) Micro Enterprises:

- It is a very small businesses
- low investment & turnover.

Ex: Small shops, home-based units.

(ii) Small Enterprises:

- In this moderate Investment is used
- It is more organized than micro.

Ex: Small manufacturing units.

(iii) Medium Enterprises:

- It is larger than small Enterprises.
- The highest investment & turnover is generated.

Ex: Medium-scale Industries.

Characteristics of Small Enterprises:

(i) Small scale operations: It has limited production & size.

(ii) Low investment:

- It requires less capital.

(iii) Simple technology:

- It uses basic machines & methods.

(iv) Owner management:

- It is managed by owners directly.

(v) Labour Intensive:

- uses more human labour than machines.

(vi) Flexibility:

- Easily adapts to changes.

(vii) Quick Decision Making:

- There are fewer formalities & less team.

Importance ↓

- Generates employment
- Promotes rural development.
- Support economic growth.
- Encourage entrepreneurship

Ownership Structures :-

- It refers to the type of ownership in a business.
- That is who owns & controls the business.

Types :-

① Solo :-

- owned by one person
- full control & profit.

② partnership

- It is owned by 2 (or) more persons.
- Shares profit & loss.

③ Joint Stock Company :-

- It is owned by stake holders.
- It is managed by directors.

④ Cooperative Society :

- It is owned by a group for mutual benefits.

⑤ Joint ~~venture~~ venture :

- It is temporary business by two (or) more parties.

- In simple, partnership for a specific project.

Importance :

- Decides control & decision making

- Affects profit sharing.

- ~~Influences~~ Influences business growth.

Project Formulation : Steps involved in setting a business

- It is the process of developing a business idea into a detailed plan.

- In simple, planning how to start a business.

Steps :

(i) Idea Generation : Identify business ~~idea~~ idea.

(ii) Feasibility Study : - check whether idea is practical.

(iii) Market Analysis ↓

- In this it study demand & competition.

(iv) Technical Analysis ↓

- Decides technology, machinery.

(v) Financial Planning ↓

- Estimate cost, profit, investment.

(vi) Preparation of project Report ↓

→ It is a detailed document of business plan.

Importance ↓

- Helps in proper planning
- Reduces risk
- Helps in getting finance

Selecting a Good Business opportunity ↓

- It means choosing the best business idea that has high chances of success.

factors for selecting a Good business opportunity ↓

- ① Market Demand.
- ② Profitability

- ③ Availability of Resources
- ④ Skills & experience.
- ⑤ ~~Good~~ Competition
- ⑥ Govt Support & Risk factors.
- ⑦ future Growth

Steps in selecting a business opportunity :-

- ① Generate different ideas
- ② Analyze market demand
- ③ Check feasibility
- ④ Compare alternatives
- ⑤ select the best idea.

Importance :-

- Reduces chances of failure
- Ensures business success.
- Helps in proper planning

Market Survey & Research :-

⇒ Market Survey is the process of collecting information about customers, demand & Competition.

Objectives of Market Survey :

- ① TO know customer needs
- ② TO understand market demand
- ③ TO study competitors
- ④ TO decide price & product.

Methods :

- Questionnaires
- Interviews
- observation
- online surveys

Importance :

- Helps in better decision making
- Reduces risk.
- Improves business success.

Market Research :

- It is a detailed & semantic study of market to support business decisions.

In simple,

- Deep Study of market.

Types :

① Primary Research :

- collecting new data directly.

Ex: surveys, interviews.

② Secondary Research:

- using existing data.
ex: reports, websites.

Steps in market Research:

① Define the problem

② collect data

③ Analyze data.

④ Interpret results

⑤ Make decisions

Differences

Market Survey	Market Research.
- Basic data collection.	- Detailed Analysis
- Short term.	- long term
- Simple process	- less Complex
- Limited scope	- wide scope.

Techno Economic Feasibility Assessment & (TEFA).

⇒ It is the process of checking whether a business idea is technically possible & economically profitable.

Components :-

A) Technical Feasibility :-

- Availability of technology & machinery
- " " raw materials
- " " Skilled Labour
- Suitable location.

B) Economic feasibility :-

- cost of production
- Expected revenue
- Profitability.
- Investment requirement.

Steps of TEFA :-

- ① Identify the business idea.
- ② Study & technical requirements
- ③ Estimate costs & revenue
- ④ Analyze market demand

- ⑤ Evaluate risks
- ⑥ Make final decisions.

Importance:

- Helps in proper planning
- Reduces risk of failure.

Advantages:

- Better decision making
- Saves time & money
- Identifies problems early.

Limitations:

- Based on assumptions
- may not predict future changes accurately.

Preparation of preliminary Project Reports & (PRP)

⇒ It is a basic plan of business idea prepared before starting a project.

Objective

- To understand feasibility of project.
- To estimate cost & profit
- To help in decision making
- To get financial supports from banks.

Contents in PRP :

- ① project description
- ② objectives of project
- ③ Market Analysis
- ④ technical details
- ⑤ financial estimates
- ⑥ Risk Analysis.

Steps for preparation of PRP :

- ① select a business idea
- ② conduct market survey
- ③ Analyze technical feasibility
- ④ Estimate financial requirements
- ⑤ prepare report document.

Importance :

- provides clear project understanding
- Reduces risk.
- Helps in getting loans.
- Guides future planning.

Advantages :

- Easy to prepare
- Saves time & cost
- Helps in decision making.

Project Appraisal:-

- It is the process of evaluating a project to check whether it is feasible & profitable.

Objective :-

- to check feasibility of project
- to evaluate profitability
- to identify risks
- to help in decision making.

Types :-

① Technical :- checks technology, machinery & location.

② Financial :- Analyzes cost, revenue, profit.

③ Market :- studies demands & competition.

④ Economic :- evaluates benefit to economy.

Steps in project Appraisal :-

- ① collect project info
- ② Analyze technical feasibility
- ③ Evaluate financial aspects

④ Study market conditions

⑤ Assess risks.

⑥ Make final decision

Importance :

- Reduces risk of failure.
- Helps in selecting best project.

Advantages :

- Better planning
- Informed decision making
- Identifies problem ~~only~~ early.

Limitations :

- Time consuming
- May not predict future changes automatically.

Sources of Information :

- These are the places (or) methods from which an entrepreneur collects data for starting & managing a business.

Importance :

- Helps in decision making
- Reduces risk.
- Improves planning.

Types:

(i) primary sources:

- Info collected directly by the entrepreneurs.

Ent - surveys

- Interviews

- observation.

(ii) secondary sources:

- Info collected from already available data

Ent - Govt reports.

• Websites

• Newspapers.

Other Sources of information:

(i) Govt Agencies - provides data, policies, schemas.

(ii) Financial Institutions - Info on loans & funding.

(iii) Market Research Reports:

Industry trends & analysis

(iv) Internet Sources -

- online data, reports, statistics.

Qualities of Good info:

- Accurate
- Relevant
- Up to date
- Reliable.

Classifications of Needs & Agencies:

⇒ Needs are the requirements of an entrepreneur to start & run a business successfully.

Types of Needs:

(i) Financial Needs:

- Money required for:
 - Starting business
 - Buying machinery
 - Working capital.

(ii) Technical Needs:

- Knowledge of technology, machinery, production.
- Need for technical skills.

(iii) Managerial Needs:

- Skills for planning, organizing, controlling.
- Simple & → Need for management skills

(iv) Training Needs:

- skill development & entrepreneurship training

Simple & → learning how ~~business~~ to run business.

(v) Marketing Needs:

- selling products, advertising, distribution

- need to search customers.

Agencies supporting Entrepreneurs:

- Agencies are ~~eg~~ organizations that provide support & assistance to entrepreneurs.

Types of Agencies:

(i) financial & provide loans & financial support.

ent Industrial Development Bank of India.

(ii) technical &

- provide ~~tech~~ technical knowledge & training.

(iii) Training Institutions:

- provides entrepreneurship training prgms.

(iv) Govt Agencies provide schemes, policies, subsidies

ent MSME Development organizations.

(v) ~~Research~~ Research organizations &

- provide research & development support.

Importances

- provides financial help

- Improves skills

- Reduces business risk

- promote entrepreneurship.
